

shut the door and, in a conspiratorial whisper, advised me that this was the time. "They" were beginning their buying operations, and he bought five contracts at the market for himself, advising me to buy as well for the big move.

Needless to say, I found this approach to trade timing extremely resistible and opted to sit out.

To summarize the incident, after meeting umpteen margin calls, my friend finally sold out his position for a loss of some \$90,000—equal to a mere \$18,000 per contract. It reinforced for me one of the simplest adages of trading: You cut your losses and let your profits run.

My good friend and mentor, Joe Klein, perhaps the best all-around floor trader to enter any commodity pit in the last 50 years, taught me this same concept in a different way. According to Klein, you keep what shows you a profit and close out what shows you a loss.

A number of years ago, while I was formulating and structuring trading strategies, I did a detailed survey of my clients' trading results. The conclusion was hardly surprising. It was generally dismal. Then I restructured my survey, projecting what the results might have been had all losses been limited to a given percentage of the respective margins, say 45%. In every case, the results were impressively better and, for illustration, I cite three typical cases as examples [see table].

A New England metals fabricator invested \$105,000 in a trading account and, after nine months, had lost its original capital plus an additional \$30,000. A recap of their trades reveals there were 35 total trades, of which 12 were profitable and the rest losing trades. The average size of the profits was \$1,799, while the average loss was \$6,844.

Terrible, isn't it. But if this corporation had limited its losses to just 45% of margin for each position, it would have lost just \$9,232, instead of the \$135,000 it did lose. The average size of its loss would have been \$1,340 instead of \$6,844. Some difference.